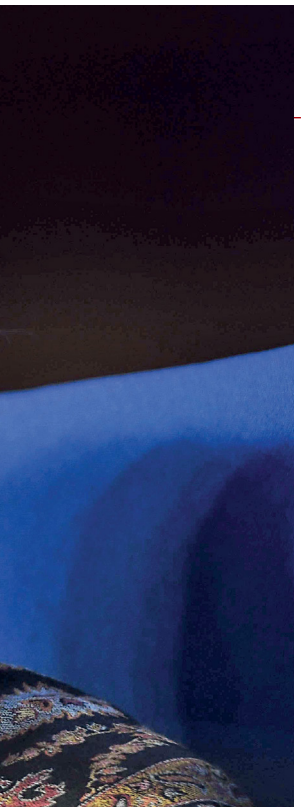


"OUR MACROECONOMIC FUNDAMENTALS, THE IMAGE OF OUR ECONOMY, NONE OF IT HAS BEEN AFFECTED... PERCEPTION OF INDIA AND ITS INHERENT STRENGTH IS INTACT"

NIRMALA SITHARAMAN
Union finance minister

that led to the Adani stock price meltdown include an ambitious family group, obsessed with control, a financial market where trading momentum trumps financial fundamentals and a capital market (debt and equity) where governments and regulators put their thumbs on the scale, are embedded in many Indian companies and represent the weakest link in the chain."

WILL THE FALLOUT BE LIMITED?

Gautam Adani has faced adversity before. A fighter by instinct, he sees any crisis as an opportunity. In his worst hour in business, Adani quickly put together a four-phase strategy to correct the share prices and put the group back on a high growth trajectory. On February 6, to instil more confidence in the investor community, the promoters of the Adani Group companies repaid $1.114 billion (around Rs 9,217 crore) before time to release some pledged shares in Adani Ports & Special Economic Zone, Adani Green Energy and Adani Transmission. The conglomerate said this was done "in light of recent market volatility and in continuation of the promoters' commitment to reduce the overall promoter leverage backed by Adani listed company shares". The move yielded immediate results. On February 7, most of the Adani Group companies' shares showed a sharp uptick, with Adani Enterprises gaining 14.63 per cent on the BSE to close at Rs 1,802.50. The next day, the stock closed still higher at Rs 2,158.65.

Sources close to the Adani Group say that releasing the pledged shares was to demonstrate the liquidity available with the group and arrest the panic selling. This is the first phase of the group's fire-fighting strategy. Stock markets expert Arun Kejriwal says that the releasing of pledged shares by Adani is a strong signal that the promoters are not in desperate need of money. "Whenever there are earthquakes, there will be aftershocks," he says. "Then you have to allow the shock to subside. The same thing will happen with Adani companies. The market will find its own level and settle down. Every positive announcement from the company will be looked at with a microscope."

The next two months will be critical for Adani. One of his biggest roadblocks will be on the financing front. Experts expect that he will find refinancing the group's existing loans difficult, as well as raising new funds from banks and the capital markets. Goodwill and trust matter a lot with both, and these have come under a cloud. Infrastructure expert Vinayak Chatterjee says, "As a group, Adani has strong liquidity and strong cash reserves. They have a good set of professional managers, strong operating projects with good cash flows. There will be a rescheduling of capital expenditure allotments. The slowdown will be visible for a year, after which the company will bounce back."

Aware of the hole they find themselves in, the group, in the second phase of its strategy, will be working very closely with banks. The group's core relationship banks have already started infusing liquidity to honour shareholder loans. This has de-risked the Adani portfolio from volatile share price movement. The group will also come out with its capex plans and credit profile to chalk out a long-term strategy spanning six months to 10 years. Meanwhile, it has been extensively briefing 10 rating agencies—three overseas and seven at home—and they have apparently given a thumbs up to the company's overall credit profile.

In the third phase, the group plans to agree to additional covenants on what it will disclose to the market from a bondholder's perspective, because they know they will now be held to closer scrutiny. The company's executives are already calling bondholders directly. In the next 12 months, capex will be slow since the group wants to demonstrate its strength. The focus will be on regaining investors' confidence, showcasing key performance indicators and quarterly performance of group companies. Its green businesses, the data centres, airports and transmission will be the key areas. In the fourth phase, the group plans to present its businesses in a completely de-risked manner and consolidate all the current ventures while going ahead with expansion plans.

Adani maintains he is a born optimist and the group appears confident of weathering the storm. This, of course, hinges on several factors, including Indian regulators giving them a clean chit on all the allegations. The imbroglio has shed light on the chinks in India's financial armour. If Sebi, for instance, is found wanting in its watchdog role, it will have serious political repercussions for the Modi government, allowing the Opposition charge that it favours businessmen to stick. The government will have to demonstrate that the country's financial dealings are conducted fairly and transparently and the regulators will need to maintain strict vigilance so that the shine on the India story remains real. ■